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JANUARY-SEPTEMBER 2026 Gambling Market & Regulatory Brief · Published 22 Oct 2026 (Receita Federal Sept-2026 collection data); framed by MP 1.394 of 25 Sep 2026 · Currency BRL (R$) primary; ~USD alongside at USD/BRL 5.37. Tables in R$ bn unless stated.

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Prepared: 30 Oct 2026
B2Tech · via Merlin

THE ONE-LINE VERDICT

Brazil's regulated fixed-odds market was running at a record ~R$3.3–3.5bn (~$0.62–0.65bn) of monthly GGR and had already delivered R$11.1bn (~$2.07bn) of federal betting-and-lottery receipts in nine months when the Lula government switched it off: MP 1.394/2026 banned all sports betting and online gaming from 25 Sep 2026, forced platforms dark on 6 Oct and extinguished every authorisation on 25 Oct with no refund of the R$30m (~$5.6m) fee. January–September 2026 is therefore the high-water mark of a 21-month regulated experiment; whether a legal market returns — and in what shape — now rests on STF Justice Fux and a Congress that must act before the measure lapses around March 2027.

REGULATED GGR H1-26	FED. BETTING+LOTTERY RECEIPTS JAN–SEP 26	FIXED-ODDS RECEIPTS 9M-26	AUTHORISED OPERATORS	UNIQUE BETTORS (CPFS, CUM.)	OFFICIAL FISCAL COST OF BAN
R$20.07bn (~$3.74bn)	**R$11.12bn (~$2.07bn)**	**R$6.86bn (~$1.28bn)**	**87 cos / 188 brands (H1-26)**	**30.9m**	**-R$1.54bn 2026 / -R$5.15bn 2027**
+15.3% YoY (SPA via LAI)	+11.7% vs FY-25 total (R$9.95bn)	R$3.72bn allocations + R$3.14bn taxes	→ 0 from 25 Oct 2026 (MP 1.394)	+9.8% vs 28.1m	EM 2114/2026

1 EXECUTIVE SUMMARY

- **The market was switched off at its peak.** Provisional Measure (MP) 1.394/2026, signed 25 Sep 2026 — nine days before the first-round election — prohibits the operation, offer, intermediation and advertising of all fixed-odds betting (sports and online games) nationwide, including offshore supply to persons in Brazil. Deposits stopped on publication, sites and apps went dark at 00:00 on 6 Oct, and every federal, state and district authorisation was extinguished 30 days after publication (25 Oct) with no refund of the outorga and no indemnity (MP art. 4).
- **Size: a ~R$40bn-a-year market.** SPA data obtained under the access-to-information law (LAI) put regulated fixed-odds GGR at R$20.07bn (~$3.74bn) in H1-26, +15.3% on H1-25 (R$17.4bn / ~$3.24bn), after R$36.96bn (~$6.88bn) in FY-25, the first regulated year. Monthly average was R$3.35bn (~$624m); January peaked at R$4.29bn (~$799m), Feb–Mar fell to ~R$2.8bn (~$521m), and June — 19 World Cup days, 72 matches — was only R$3.34bn (~$622m): no tournament spike.
- **Stakes and payout.** Prizes returned to bettors in H1-26 were R$377.86bn (~$70.4bn), implying stakes of ≈R$398bn (~$74bn) and a payout ratio of ≈95% [estimate from SPA figures]. A separate SPA-sourced report puts H1-26 deposits at R$88.48bn (~$16.5bn) and GGR at R$20.28bn (~$3.78bn) — a 1% gap to the BNLData figure; GGR equated to ~23% of deposits.
- **Online-only market; product split not disclosed.** Regulated fixed-odds in Brazil is in practice 100% digital (there is no meaningful licensed retail sportsbook estate); retail gaming is the Caixa lottery monopoly plus state lotteries. SPA does not publish a verified sports-vs-online-games GGR split — n/a.
- **Player base: 30.9m CPFs, modest growth.** 30,895,934 unique CPFs had bet on licensed sites by end-H1-26 (cumulative since Jan-25), +9.8% on 28.1m; average spend per bettor rose 5.0% to R$649.60 (~$121) per semester (R$108.27 / ~$20 a month). 68.5% male; 72% aged 40 or under; only 2.8% over 60.
- **>5m Brazilians were already barred.** Minister Durigan (13 Aug 2026): ~3m Bolsa Família/BPC beneficiaries (banned since Oct-25), 1.2m self-excluded and ~0.8m Novo Desenrola debt-renegotiation participants could not bet — a structural brake on volume growth.
- **Licensing regime (as it stood).** Law 14.790/2023: federal authorisation at R$30m (~$5.6m) for five years and up to three brands, Brazilian-incorporated entity, SIGAP reporting, monthly fiscalisation fee (aggregate ≈R$115.2m/~$21m a year per the government's own impact note). Operators grew from 78 companies/182 brands (H1-25) to 87/188 (H1-26, +11.5%/+3.3%). All pending applications are voided (MP art. 6).
- **Tax regime: GGR-based, ratcheting.** Operators paid a 12% contribution on GGR (destinations: sport, tourism, public security, health, education), raised by Complementary Law 224/2025 (26 Dec 2025) to 13% in 2026, 14% in 2027 and 15% from 2028 — the extra 1–3pp earmarked for social security — plus ordinary IRPJ, CSLL, PIS and COFINS. Bettors pay 15% income tax on net prizes above the first IRPF exemption band. H1-26 legal allocations of R$2.49bn (~$464m) equal 12.4% of GGR.
- **Tax take: 9M-26 already beat FY-25.** Receita Federal (22 Oct 2026): betting and Caixa-lottery federal receipts were R$11.116bn (~$2.07bn) Jan–Sep 2026 vs R$9.95bn (~$1.85bn) for all of 2025. September was R$1.206bn (~$225m), +3.7% m/m but -7.9% y/y (R$1.310bn / ~$244m Sep-25). Fixed-odds alone generated R$6.86bn (~$1.28bn): R$3.72bn (~$693m) in statutory allocations and R$3.14bn (~$585m) in federal taxes. [Press-relayed; Receita report not opened directly.]
- **Who got the money.** Of H1-26 allocations, sport took R$870.15m (~$162m) via the Ministry of Sport and state secretariats; health R$24.19m (~$4.5m) funding the SUS gambling-harm programme (telehealth from March 2026, Sírio-Libanês contract R$2.94m / ~$548k). Receita's specific codes also show lotteries contributing R$4.96bn (~$924m) in H1 vs R$2.48bn (~$462m) from fixed-odds, Mega-Sena-type numerical lotteries being 77.2% of the lottery block.
- **Government's own fiscal cost of the ban is R$12bn over three years.** EM 2114/2026 books lost tax revenue of R$1.541bn (~$287m) in 2026, R$5.150bn (~$959m) in 2027 and R$5.330bn (~$993m) in 2028, plus R$268.8m (~$50m) of lost fiscalisation fees; it claims no outorga loss because fees were pre-paid. BNLData's counter-estimate at H1-26 run-rates is ≈R$18.2bn (~$3.39bn) foregone Oct-26–Dec-27 vs the government's R$6.8bn (~$1.27bn).
- **Wind-down mechanics are punitive and payments-led.** Operators faced R$200k (~$37k) daily fines for refund failures; banks/PSPs had seven days to return balances to the CPF-matched account of origin, with residuals swept to a Caixa escrow from 15 Oct; banks, payment institutions and Pix arrangement owners are barred from processing any

fixed-odds transaction (art. 14) and the BCB must build a real-time rejection/return protocol (art. 15). App stores, OS vendors and platforms carry a duty of care, with fines up to 10% of Brazilian group revenue capped at R$50m (~$9.3m) per infraction.

- **Advertising goes from restricted to prohibited.** Pre-ban rules (Law 14.790 bonus ban; SPA Portaria 1.231/2024 on minors, 'easy money' claims and warnings) are replaced by a blanket ban on all communication, marketing and sponsorship (art. 16), with a 10-day removal deadline; breaches are 'abusive advertising' under the Consumer Code with counter-advertising sanctions.
- **Politics: the ban survived the election.** Lula was re-elected on 25 Oct 2026 against Flávio Bolsonaro, whose camp criticised the shutdown but favours a sports-only regime with online casino banned. The government (SRI minister José Guimarães, 27–28 Oct) lists the MP among its three legislative priorities and wants a vote before year-end, before a more conservative Congress sits in Feb-27. As of 27 Oct no joint committee had been installed and 99 amendments were on file.
- **Judiciary: no relief in force.** ADIs 8.024, 8.027 and 8.028 sit with Justice Fux, who deferred until after the runoff and has now convened a public hearing with 26 participants (government, sector, football clubs). Of 19 federal-court actions, none has an injunction in force; a TRF-3 panel dissolved the one favourable first-instance ruling within 24 hours (9 Oct).
- **Black market was already large and is now the only market.** LCA/Locomotiva for IBJR estimated 38–44% of online betting in H1-26 was on illegal sites despite SPA blocking >25,000 domains in year one (and >16,000 cited by Vixio). ANJL's Legitbet counts >34,000 clandestine betting sites since the MP. Channelisation, not demand, is the variable the ban has broken.
- **Industry damage is already structural.** ANJL: ~51% of the ~15,000 people employed by licensed operators have been laid off or furloughed; football sponsorship income has been severed; player balances have been emptied and the statutory welcome-bonus ban makes re-acquisition expensive. Vixio expects heavy consolidation toward tier-one balance sheets if the market reopens.
- **Timeline to clarity runs to Q2-27.** 9 Nov 2026: MP enters 'urgency' (locks the docket); December: possible expedited vote or deferral to the new legislature; ≈4 Mar 2027: 120-legislative-day expiry, which would automatically restore Law 14.790 (Congress would then need a legislative decree to re-validate licences); April 2027: possible vetoes/overrides.
- **Read-through for B2Tech.** Brazil's legal TAM is zero until at least Q1-27 and the modal outcome is a narrower sports-only regime at 14% GGR plus corporate tax and heavier payments/advertising controls. Do not commit capital to market access now; keep optionality via B2B/supplier readiness and watch the STF window (Nov) and the December vote. The pre-ban numbers — ~R$40bn (~$7.5bn) annualised GGR, 30.9m players, 95% payout — remain the best evidence of what a restored market is worth.

2 MARKET SUMMARY

BRAZIL — REGULATED FIXED-ODDS MARKET (R$; ~USD AT 5.37)	H1-26	YOY	FY-25	9M-26 / LATEST
MARKET SIZE (REGULATED FIXED-ODDS; ONLINE)				
GGR — sports betting + online games Implied 9M range derived from R$3.72bn statutory allocations ÷ 12–13%.	**R$20.07bn (~$3.74bn)**	**+15.3%**	**R$36.96bn (~$6.88bn)**	**Q3 n/a; implied 9M ≈R$29–31bn (~$5.4–5.8bn) [est.]**
Monthly average GGR	R$3.35bn (~$624m)	n/a	R$3.08bn (~$574m)	Jan R$4.29bn peak; Jun R$3.34bn
Prizes paid to bettors	R$377.86bn (~$70.4bn)	n/a	n/a	n/a
Implied stakes (GGR + prizes) [est.]	≈R$398bn (~$74bn)	n/a	n/a	Payout ≈95.0%
Deposits (SPA data, single press source)	R$88.48bn (~$16.5bn)	n/a	n/a	GGR ≈23% of deposits
Online share of regulated fixed-odds	~100% (no licensed retail book)	—	~100%	—
Product split sports vs online games	n/a (not published)	—	n/a	—
PLAYERS & OPERATORS				
Unique bettors (CPFs, cumulative since Jan-25)	30.9m	+9.8%	25.2m	—
Spend per bettor per semester	R$649.60 (~$121)	+5.0%	R$618.60 (~$115) H1-25	—
Authorised companies / brands	**87 / 188**	**+11.5% / +3.3%**	**78 / 182 (H1-25)**	**0 from 25 Oct 2026**
Illegal share of online betting (IBJR/LCA)	38–44%	n/a	n/a	Legitbet: >34k clandestine sites post-MP
TAX REGIME & TAKE				
Operator tax base / rate	GGR; 13% (12% policies + 1% social security)	+1pp (LC 224/2025)	GGR; 12%	14% in 2027, 15% from 2028 if market restored
Player tax	15% IR on net prizes above IRPF exemption	—	same	—
Fed. betting + Caixa-lottery receipts (Receita)	**n/a**	**—**	**R$9.95bn (~$1.85bn)**	**9M-26 R$11.116bn (~$2.07bn), +11.7% vs FY-25**
Fixed-odds receipts (allocations + federal taxes)	n/a	—	n/a	9M-26 R$6.86bn (~$1.28bn)
Statutory allocations (12% GGR)	R$2.49bn (~$464m) = 12.4% GGR	n/a	n/a	9M-26 R$3.72bn (~$693m)
Monthly take, Sep-26 (betting + lotteries)	—	—	Sep-25 R$1.310bn (~$244m)	R$1.206bn (~$225m); -7.9% y/y, +3.7% m/m
LICENSING & FISCAL IMPACT OF BAN				
Authorisation (outorga) fee	R$30m (~$5.6m) / 5 yrs / ≤3 brands	—	same	Not refundable under MP art. 4
Fiscalisation fee (aggregate, per EM)	≈R$115.2m/yr (~$21m)	—	n/a	Loss Sep–Dec 26: R$38.4m (~$7.2m)
Official tax-revenue loss from MP 1.394	**—**	**—**	**—**	**2026 -R$1.541bn; 2027 -R$5.150bn; 2028 -R$5.330bn (~$287m / $959m / $993m)**

3 DEEP-DIVE — FIXED-ODDS MARKET: SPORTS BETTING & ONLINE GAMES (JAN–SEP 2026)

A ~R$40bn-a-year online market growing mid-teens, with no World Cup spike, abruptly halted after nine months.

H1-26 GGR AND MONTHLY PROFILE

Regulated fixed-odds GGR was R$20.07bn (~$3.74bn) in H1-26, +15.3% on H1-25, with no World Cup lift.

- H1-25 GGR was R$17.4bn (~$3.24bn); FY-25 was R$36.96bn (~$6.88bn).
- January peaked at R$4.29bn (~$799m) as state and Brasileirão calendars were pulled forward ahead of the World Cup.
- February and March fell to roughly R$2.8bn (~$521m); April–June recovered to ~R$3.3–3.4bn (~$615–635m).
- June, with 19 World Cup days and 72 matches, produced R$3.34bn (~$622m), slightly below the semester average of R$3.35bn (~$624m).
- SPA/MF publishes no regular bulletin; data come from access-to-information releases reported by BNLData. The tournament did not lift GGR.

STAKES, PAYOUT AND DEPOSITS

Prizes of R$377.86bn (~$70.4bn) imply stakes of ≈R$398bn (~$74bn) and a ~95% payout, consistent with a casino-heavy mix.

- Hold of ~5%; sportsbook alone would not run that thin.
- Second SPA-sourced report (Claudio Dantas, 25 Sep 2026): H1-26 deposits R$88.48bn (~$16.5bn), GGR R$20.28bn (~$3.78bn), 84 companies/193 brands.
- The 1% GGR gap and differing operator counts versus BNLData are unexplained; the LAI figure is quoted as primary.
- GGR at ~23% of deposits points to high recycling of winnings into further play.

PLAYER BASE

30,895,934 unique CPFs were registered by end-H1-26, up 2.77m or 9.8% on 28.1m a year earlier; growth no longer fast.

- BNLData Q1-26: ~15.2m CPFs actually bet in the quarter, R$7.6bn (~$1.42bn) gross revenue attributed to 'sports betting', active accounts +11.7%.
- Whether that R$7.6bn is sports-only or total cannot be verified; product split treated as n/a.
- Average spend per bettor rose 5.0% to R$649.60 (~$121) per semester, i.e. ~R$108 (~$20) a month.
- Demographics: 68.5% men; 21.3% aged ≤24, 22.0% aged 25–30, 29.0% aged 31–40, 17.7% aged 41–50, under 3% over 60.

EXCLUSION POLICY

More than 5m Brazilians were barred from licensed platforms by August 2026, deliberately throttling growth.

- ~3m Bolsa Família and BPC beneficiaries prohibited from October 2025.
- 1.2m voluntary self-exclusions.
- ~0.8m Novo Desenrola debt-programme participants, with a minimum six-month betting block.
- Regulated addressable base was already ~15% smaller than the registered base and skewed away from the most price-sensitive cohort.

Q3-26 ESTIMATE AND RUN-RATE

Q3-26 GGR is unpublished; Receita allocations imply 9M GGR of ≈R$29–31bn and a ~R$40bn annualised pre-ban market [estimate].

- R$3.72bn (~$693m) of statutory allocations for Jan–Sep at a 12–13% contribution rate implies 9M GGR of ≈R$29–31bn (~$5.4–5.8bn).
- Q3 run-rate ≈R$3.2–3.5bn (~$0.6–0.65bn) a month, in line with H1; September receipts only mildly dented by the 25 Sep deposit freeze.
- Annualised ~R$40bn (~$7.5bn) GGR would place Brazil among the three or four largest regulated online markets globally.
- From 6 Oct 2026 regulated GGR is zero; the only 'market' is offshore.

MARKET MATURITY

H1 data show a market at steady state: mid-teens GGR growth, high-single-digit player growth, 87 licensees sharing ~R$3.3bn a month.

- 95% payout indicates heavy casino and promotional intensity despite the welcome-bonus ban.
- Roughly R$38m (~$7m) of GGR per company per month on average, with the long tail far below that.
- The ban hit before the inevitable consolidation; it will now happen in the dark.

FIXED-ODDS MARKET METRICS (R$; ~USD AT 5.37)	2026 VALUE	COMPARATOR	CHANGE	SOURCE / NOTE
GGR — MONTHLY				
January	R$4.29bn (~$799m)	—	Peak month	SPA via LAI (BNLData)
February / March	≈R$2.8bn each (~$521m)	—	Trough	SPA via LAI (BNLData)
June (World Cup month)	R$3.34bn (~$622m)	H1 avg R$3.35bn	Below average	No tournament uplift
H1-26 total GGR	**R$20.07bn (~$3.74bn)**	**H1-25 R$17.4bn**	**+15.3%**	**Alt. source: R$20.28bn**
FY-25 GGR	—	R$36.96bn (~$6.88bn)	—	SPA; first regulated year
Implied 9M-26 GGR [est.]	≈R$29–31bn (~$5.4–5.8bn)	—	—	From R$3.72bn allocations ÷ 12–13%
VOLUME & PAYOUT				
Prizes paid H1-26	R$377.86bn (~$70.4bn)	—	—	SPA via LAI
Implied stakes H1-26 [est.]	≈R$398bn (~$74bn)	—	—	GGR + prizes
Payout ratio H1-26 [est.]	≈95.0%	—	—	Hold ≈5%
Deposits H1-26	R$88.48bn (~$16.5bn)	—	—	Single press source (SPA data)
PLAYERS				
Unique CPFs (cumulative)	30.9m	28.1m	+9.8%	18-month cumulative
Q1-26 CPFs betting in quarter	≈15.2m	—	Accounts +11.7%	BNLData Q1 analysis
Spend per bettor / semester	R$649.60 (~$121)	R$618.60 (~$115)	+5.0%	≈R$108/month
Barred from platforms	>5m	—	—	3m PBF/BPC; 1.2m self-excl.; 0.8m Desenrola
Male / ≤40 years share	68.5% / 72.2%	—	—	SPA via LAI
SUPPLY				
Authorised companies / brands H1-26	87 / 188	78 / 182 (H1-25)	+11.5% / +3.3%	Alt. source: 84 / 193
Avg GGR per company per month [est.]	≈R$38m (~$7m)	—	—	R$3.35bn ÷ 87
Sports vs online-games split	n/a	n/a	n/a	Not published by SPA

4 DEEP-DIVE — LICENSING REGIME AND THE MP 1.394 WIND-DOWN

A R$30m, five-year federal authorisation regime built since 2024 was extinguished in 30 days, with no refund, no indemnity and pending applications voided.

PRE-BAN AUTHORISATION REGIME

Until 25 Sep 2026 Brazil ran a federal authorisation model: R$30m (~$5.6m) outorga for five years and up to three brands.

- Law 14.790/2023, administered by SPA/MF; Brazilian-incorporated company, .bet.br domain, SIGAP reporting, technical certification and AML requirements.
- Monthly fiscalisation fee valued by the government's impact statement at ≈R$115.2m (~$21m) a year across the sector.
- States and the Federal District could also authorise fixed-odds within their territory.
- Licensees rose from 78 companies/182 brands in H1-25 to 87/188 in H1-26, with more applications queued; ~15,000 direct employees (ANJL).

MP 1.394 PROVISIONS

MP 1.394/2026 (25 Sep 2026) bans fixed-odds operation, offer, intermediation and advertising, extinguishing all authorisations after 30 days without refund or compensation.

- Art. 1 covers physical and virtual forms, including agents abroad offering to persons in Brazil, real sporting events and virtual online games; other lottery modalities untouched.
- Art. 2 extends the ban to state and district concessions; art. 6 bars new authorisations and voids pending applications.
- Art. 4 extinguishes authorisations on 25 Oct 2026 'for reasons of public interest' with no right to full or partial refund of the outorga.
- Repeals Law 14.790 arts. 1–40, 43–48, 54, Chapter V of Law 13.756/2018 and art. 68 of Law 15.421/2026, preserving SPA's sanctioning powers over past conduct.

TRANSITION SCHEDULE

The wind-down was compressed and payments-centric, with deposits banned from 25 Sep and sites down by 6 Oct.

- Bettors could withdraw voluntarily until 23:59 on 5 Oct; sites, apps and store listings taken down by 6 Oct on pain of blocking.
- Within two days operators had to prove liquidity for full refunds and send CPF-level balance files to banks and SPA (art. 8); R$200,000 (~$37k) daily fine for non-compliance.
- Banks had seven days (9–14 Oct) to return funds to the account of origin; unreturnable balances swept to a Caixa account from 15 Oct (art. 9).
- Operators remain liable for shortfalls, keep records five years and keep transmitting SIGAP data (arts. 10–11).
- Pending sanction proceedings are suspended and archived if operators comply fully (art. 13) — an amnesty-for-cooperation lever.

LEGAL STATUS AND TIMELINE

The MP is temporary, lapsing unless converted within 60 + 60 days; Vixio puts expiry around 4 Mar 2027.

- 'Urgency' locks the congressional docket from 9 Nov 2026.
- If the MP lapses or is rejected, Law 14.790 revives and Congress must issue a decree on interim acts, including whether revocations stand and re-payment of R$30m.
- 99 amendments filed by late October; conversion with amendments would create a new statute.
- Industry argues before the STF there was no constitutional 'urgency' (market regulated for 21 months) and that revocation without compensation breaches acquired rights; AGU argues plenary Union competence.

IMPLICATIONS FOR ENTRANTS

Brazilian licence value has been repriced to near zero for now; credibility of future authorisation is impaired until courts or Congress protect prepaid fees.

- Operators who paid R$30m in late 2024/2025 have had 21 of 60 months.
- Re-entry should assume re-application and possibly a second fee unless Congress waives it.
- Tighter conditions likely; sports-only is the modal compromise.
- Far smaller competitor set — consolidation among the 87 is now inevitable.

MP 1.394/2026 — KEY PROVISIONS & SCHEDULE	PROVISION	DATE / VALUE	MECHANISM	IMPLICATION
Scope of prohibition	**Art. 1–2**	**25 Sep 2026**	**Sports + online games; onshore & offshore; federal, state, district**	**Total regulated TAM → 0**
Deposit freeze	Art. 7 §1	25 Sep 2026	No new funds into transactional accounts	Immediate revenue halt
Voluntary withdrawals	SPA schedule	to 5 Oct 23:59	Players withdraw via site/app	—
Sites/apps unavailable	Art. 7	6 Oct 2026	Takedown incl. app stores; else blocking	Full blackout
Refund files to banks & SPA	Art. 8	6–7 Oct	CPF-level balances; proof of liquidity	Fine R$200k/day (~$37k)
Bank refunds	Art. 9	9–14 Oct	To account of origin, CPF-matched	—
Residual balances	Art. 9 §3	from 15 Oct	Swept to Caixa escrow under MF supervision	—
Authorisations extinguished	**Art. 4**	**25 Oct 2026**	**Public-interest revocation; no refund of R$30m (~$5.6m); no indemnity**	**Property-rights test at STF**
New licences / pending applications	Art. 6	25 Sep 2026	Prohibited / voided	Pipeline dead
Advertising & sponsorship	Art. 16–18	Removal by 5 Oct	Blanket ban; 'abusive advertising' under Consumer Code	Club sponsorships void
Platforms / app stores / OS	Art. 19–22	Ongoing	Duty of care; fines ≤10% BR revenue, cap R$50m (~$9.3m)	Offshore marketing choked
Domain blocking	Art. 23	Ongoing	MF/MJSP orders via Anatel & CGI.br	Continues pre-ban regime
Payments prohibition	Art. 14–15	BCB regulation pending	Banks/PSPs/Pix arrangers may not process; real-time rejection protocol	Pix choke-point
Record-keeping / SIGAP	Art. 10–11	5 years	Continuing reporting on past activity	Compliance cost persists
Sanction proceedings	Art. 13	—	Suspended; archived if wind-down complied with	Cooperation incentive
Interinstitutional committee	Art. 24	Regulation pending	Casa Civil-led enforcement coordination	—
Congressional 'urgency'	Const. art. 62	9 Nov 2026	Docket lock after 45 days	Vote or lapse
Expiry if not converted	120 legislative days	≈4 Mar 2027	Law 14.790 revives; decree needed on interim acts	Re-licensing path

5 DEEP-DIVE — TAX & FISCAL: GGR CONTRIBUTION, LC 224/2025 RATCHET AND THE 2026 TAKE

Receipts were running ~R$1.2bn a month and had beaten FY-25 by September; the Treasury itself books a R$12bn three-year hole from the ban.

TAX BASE AND RATCHET

Operators pay a GGR contribution of 13% in 2026, rising to 14% in 2027 and 15% from 2028 under LC 224/2025.

- Law 14.790/2023 set 12% on GGR with destinations across sport, tourism, public security, education and health, plus IRPJ, CSLL, PIS, COFINS.
- Effective burden on GGR reaches well into the 20s in percentage terms depending on margin structure.
- LC 224/2025 (26 Dec 2025): 12% public policies + 1% social security in 2026, +2% in 2027, +3% from 2028.
- MP 1.303/2025's attempt to go straight to 18% lapsed; the Senate CAE had voted 15%/15%/18% before 13/14/15 prevailed.
- Bettors pay 15% income tax on net annual prizes above the first IRPF exemption band; ComprovaBet statement under IN 2.299/2025.

2026 RECEIPTS SERIES

Receita's Jan–Apr 2026 betting-house series showed R$4.586bn (~$854m), +99.1%, but appears to include Caixa lotteries.

- Monthly: January R$1.49bn (~$277m), February R$1.04bn (~$194m), March R$859m (~$160m), April R$1.189bn (~$221m); prior year R$2.283bn (~$425m).
- Series too large to reconcile with R$6.86bn (~$1.28bn) of fixed-odds-only receipts for nine months.
- Fixed-odds codes (BNLData) rose from R$368.4m (~$69m) in January to R$513m (~$96m) in June, totalling R$2.48bn (~$462m) in H1.
- That matches R$2.49bn (~$464m) of statutory allocations from SPA GGR data (12.4% of GGR); the datasets should not be summed.
- Lottery codes contributed R$4.96bn (~$924m) in H1; numerical-lottery code jumped from R$11.6m in January to R$251.1m in June, attributed to a mid-year rule change (unverified).

NINE-MONTH TOTAL

Federal betting and lottery receipts reached R$11.116bn (~$2.07bn) for 9M-26, surpassing FY-25's R$9.95bn (~$1.85bn) with a quarter to spare.

- September R$1.206bn (~$225m), +3.7% on August's R$1.163bn (~$217m) but -7.9% on September 2025's R$1.310bn (~$244m); last normal month.
- Fixed-odds operators generated R$3.72bn (~$693m) in statutory allocations and R$3.14bn (~$585m) in federal taxes, per Receita's Marcelo Gomide.
- BNLData's FY-26 forecast of R$14.6–15.5bn (~$2.7–2.9bn) is now unattainable.
- Receita's Claudemir Malaquias said only the non-fixed-odds lottery stream will continue to report.

GOVERNMENT FISCAL ARITHMETIC

EM 2114/2026 books tax losses of R$1.541bn, R$5.150bn and R$5.330bn for 2026–28, which we view as understated.

- Implied run-rate ~R$430m (~$80m) a month versus observed fixed-odds receipts of ~R$760m (~$142m) a month in 9M-26.
- Fiscalisation-fee losses of R$38.4m (~$7.2m) for Sep–Dec 2026 and R$115.2m (~$21m) a year thereafter (R$268.8m / ~$50m over the triennium).
- EM claims no loss on outorgas because fees were paid in full — precisely the point operators contest.
- BNLData estimates ≈R$18.2bn (~$3.39bn) foregone Oct-26 to Dec-27 versus the government's R$6.8bn (~$1.27bn); transfers to beneficiaries will be cut, with 2027–28 adjustments in PLOA 2027.

OPERATOR READ-THROUGH

Any restored regime inherits the LC 224 ratchet plus probably a political premium; 18% remains the government's revealed preference.

- Fiscal dependency built in 21 months — R$870m (~$162m) to sport in one half-year plus club sponsorships — is the strongest restoration argument for the Centrão and football lobby.
- This is why Vixio and others rate a permanent, total ban the least likely outcome.

TAX REGIME & RECEIPTS (R$; ~USD AT 5.37)	RATE / VALUE	BASE OR PERIOD	CHANGE	SOURCE
OPERATOR TAXES				
GGR contribution 2025	12%	GGR (stakes − prizes)	—	Law 14.790/2023
GGR contribution 2026	**13% (12% + 1% social security)**	**GGR**	**+1pp**	**LC 224/2025**
GGR contribution 2027 / 2028+	14% / 15%	GGR	+1pp p.a.	LC 224/2025
Corporate taxes	IRPJ, CSLL, PIS, COFINS (standard)	Profit / revenue	—	General tax law
Fiscalisation fee (sector aggregate)	≈R$115.2m/yr (~$21m)	Monthly, tiered	—	EM 2114/2026
Authorisation fee	R$30m (~$5.6m)	5 yrs / ≤3 brands	Non-refundable (MP art. 4)	Law 14.790; MP 1.394
Player tax	15% IR on net prizes > exemption	Annual net winnings	—	Law 14.790; IN 2.299/2025
RECEIPTS 2026 (RECEITA FEDERAL)				
Jan–Apr 'apostas' category	R$4.586bn (~$854m)	vs R$2.283bn Jan–Apr 25	+99.1%	Receita via BNLData; likely incl. lotteries
Monthly: Jan / Feb / Mar / Apr	R$1.49bn / 1.04bn / 0.859bn / 1.189bn	—	Feb -30%; Mar -17%; Apr +38% m/m	Receita via BNLData
Fixed-odds-specific codes H1-26	R$2.48bn (~$462m)	Jan R$368m → Jun R$513m	+39% Jan→Jun	BNLData (Receita codes)
Lottery codes H1-26	R$4.96bn (~$924m)	Mega-Sena-type = 77.2%	—	BNLData (Receita codes)
Statutory allocations H1-26 (SPA)	R$2.49bn (~$464m)	12.4% of GGR	Sport R$870m; health R$24m	SPA via LAI
Betting + lottery receipts Jan–Sep 26	**R$11.116bn (~$2.07bn)**	**vs FY-25 R$9.95bn**	**+11.7% vs full prior year**	**Receita (22 Oct), press-relayed**
September 2026	R$1.206bn (~$225m)	Aug R$1.163bn; Sep-25 R$1.310bn	+3.7% m/m; -7.9% y/y	Receita, press-relayed
Fixed-odds 9M-26: allocations / taxes	R$3.72bn / R$3.14bn (~$693m / ~$585m)	Total R$6.86bn (~$1.28bn)	≈R$760m/month	Receita (Gomide)
FISCAL IMPACT OF MP 1.394				
Tax loss 2026 / 2027 / 2028 (official)	**-R$1.541bn / -5.150bn / -5.330bn**	**(~$287m / $959m / $993m)**	**—**	**EM 2114/2026**
Fee loss Sep-26–2028 (official)	-R$268.8m (~$50m)	R$38.4m 2026; R$115.2m p.a.	—	EM 2114/2026
Independent estimate Oct-26–Dec-27	-R$18.2bn (~$3.39bn)	vs gov. -R$6.8bn (~$1.27bn)	2.7x	BNLData
Pre-ban FY-26 receipts forecast	R$14.6–15.5bn (~$2.7–2.9bn)	Betting + lotteries	Now unattainable	BNLData

6 DEEP-DIVE — PAYMENTS, PLAYER PROTECTION & ADVERTISING

A Pix-only, CPF-bound, bonus-free regime that was already the strictest in Latin America has been converted into a payments blockade and a total advertising ban.

PAYMENTS RAIL

Brazil's Pix-only, CPF-bound payments architecture made the shutdown executable in 10 days and is now turned against offshore supply.

- Deposits and withdrawals could only move between a CPF-verified bettor account and an operator account at a BCB-authorised institution via Pix, TED or debit; cards, cash, boletos and crypto prohibited.
- Refund mechanism reversed Pix flows to the CPF-matched account of origin, with Caixa as backstop.
- Art. 14 bars banks, payment institutions and arrangement owners, including instant payments, from processing any fixed-odds transaction and requires rulebook prohibitions.
- Art. 15 directs the BCB to build a real-time rejection and interbank return system for illegal betting funds.
- Art. 28 allows forfeiture of frozen funds of irregular operators to the Union administratively, without prior judicial decision, with proceeds to the National Public Security Fund.

PLAYER PROTECTION

Exclusions covered ≈3m Bolsa Família/BPC beneficiaries, 1.2m self-excluded and ~0.8m Novo Desenrola participants before the ban.

- Telehealth gambling-harm service launched March 2026 at 600 consultations a month, expanded via Proadi-SUS with Hospital Sírio-Libanês (contract R$2.94m / ~$548k).
- Funded from the R$24.19m (~$4.5m) health allocation in H1-26.
- Government rationale (EM paras. 3–7): instruments 'have not been capable' of protecting health, consumers, minors and household finances.
- Cites 24/7 availability, instant settlement and targeted digital marketing as drivers.

> *"may have been tens of billions of reais"* — **Government (EM 2114/2026)**

ADVERTISING BAN

MP 1.394 art. 16 bans all fixed-odds communication, publicity, marketing and sponsorship in any medium, with a 10-day removal deadline (5 Oct).

- Pre-ban framework: SPA Portaria 1.231/2024 restrictions, Conar self-regulation, Law 14.790's welcome-bonus ban, and the STF's November 2024 confirmation of Fux's injunction on child-directed ads.
- Art. 17 grandfathers only incidental pre-existing content.
- Breach is 'abusive advertising' under art. 37 §2 of the Consumer Code, including counter-advertising orders.
- Internet application providers carry a duty of care (art. 19) with notice-and-takedown on request of consumer authorities or the Justice Ministry (art. 20).

OPERATOR IMPLICATIONS

Implications are structural: payments controls and forfeiture power will remain the enforcement spine even under restoration.

- Any grey-market strategy carries acute counterparty and asset-seizure risk.
- Bonus ban makes re-acquisition of a player base with zeroed balances expensive and slow.
- Advertising, if it returns, is likely closer to Italy's 'Dignity Decree' than the pre-2026 Brazilian regime.

PAYMENTS & PLAYER-PROTECTION PARAMETERS	PRE-BAN RULE (TO 25 SEP 2026)	UNDER MP 1.394	METRIC	SOURCE
Permitted payment methods	Pix, TED, debit; operator-named account at BCB-authorised institution	None — processing prohibited (art. 14)	—	Law 14.790; SPA ordinances
Prohibited methods	Credit card, cash, boleto, crypto	All	—	SPA ordinances
KYC	CPF + document + facial biometrics	Refunds CPF-matched to account of origin	—	Law 14.790; MP art. 9
Refund mechanics	—	Banks 7 days; residual to Caixa escrow	Fine R$200k/day (~$37k)	MP arts. 8–9
BCB enforcement	Account-blocking of irregular operators (art. 21-A)	Real-time rejection/return protocol; administrative forfeiture to FNSP	—	MP arts. 15, 28
Excluded cohorts	Bolsa Família/BPC (Oct-25); self-exclusion; Desenrola	Everyone	≈3m / 1.2m / 0.8m	MF (13 Aug 2026)
Bonuses	Welcome/advance bonuses banned	—	—	Law 14.790
Advertising	Restricted (Portaria 1.231/2024; Conar; STF minors ruling)	Total ban incl. sponsorship; 10-day removal	Fines ≤10% BR revenue, cap R$50m (~$9.3m) for platforms	MP arts. 16–22
Gambling-harm services	SUS telehealth from Mar-26	Continues	Health allocation H1-26 R$24.19m (~$4.5m)	SPA via LAI; MoH
Deposits H1-26	R$88.48bn (~$16.5bn)	0 from 25 Sep	GGR ≈23% of deposits	SPA data (single source)

7 DEEP-DIVE — ENFORCEMENT, ILLEGAL MARKET AND THE POLITICAL–JUDICIAL PATH

Offshore supply already held 38–44% before the ban; with Lula re-elected and no injunction in force, the decisive windows are the STF hearing in November and a congressional vote before the March 2027 expiry.

ILLEGAL MARKET AND ENFORCEMENT

Offshore platforms held 38–44% of online betting in H1-26 despite over 25,000 sites blocked; enforcement now targets 100% of demand.

- SPA reported 25,000+ illegal sites blocked in the first year via Anatel and CGI.br; Vixio cites over 16,000 domains.
- LCA Consultores/Instituto Locomotiva study for IBJR: 38–44% unlicensed share in H1-26.
- ANJL's Legitbet monitor claims 34,000+ clandestine sites since the MP; demand of ~R$3.3bn (~$620m) GGR a month.
- Choke-point moves from DNS to payments and platforms, with fines up to 10% of Brazilian group revenue capped at R$50m (~$9.3m) per infraction.
- New Casa Civil-chaired Interinstitutional Committee with mandatory data-sharing among Federal Police, Receita and COAF.

JUDICIAL TRACK

No injunction is in force; ADIs 8.024, 8.027 and 8.028 sit with Justice Fux, who convened a 26-participant hearing instead of ruling.

- Fux signalled he would rule only after the 25 Oct runoff.
- AGU defends on Union competence over lotteries; sector argues no constitutional urgency and breach of acquired rights.
- 26 Oct survey: 19 actions in TRF-1 and TRF-3, three denied, one granted then suspended within 24 hours (Stake, 9 Oct) to avoid 'market distortion'.
- Any reopening before 2027 requires a market-wide STF injunction, ideally ex tunc to unwind the 25 Oct revocations.

POLITICAL TRACK

Lula's runoff win over Flávio Bolsonaro on 25 Oct makes the MP's author no lame duck; the track is less favourable than Vixio assumed.

- SRI minister José Guimarães named the MP a top-three priority on 27–28 Oct, aiming for a vote before a more conservative Congress sits in February 2027.
- No joint committee installed a month after publication; 99 amendments tabled.
- Centrão, clubs and states face losses: R$870m (~$162m) to sport in H1-26, ~R$760m (~$142m) monthly federal receipts, Série A sponsorships.
- Bolsonaro camp's position — restore sports betting, keep online casino banned — offers a ready compromise text.

SCENARIO WEIGHTING

Sports-only conversion is the single most likely outcome at roughly 40–45% (judgement, not modelled).

- Lapse or rejection with Law 14.790 reviving and a reinstatement decree: 25–30%.
- Permanent total ban: 15–20%; STF injunction restoring the full market before Congress acts: 10–15%.
- In every scenario except the injunction, no licensed revenue is possible before Q1-27.
- Sports-only TAM would be materially smaller than the ~R$40bn (~$7.5bn) run-rate because the ~95% payout indicates online games carried most GGR.
- Regulated operator count will be far below 87 on the other side.

ENFORCEMENT METRICS & DECISION CALENDAR	VALUE / DATE	COMPARATOR	STATUS	SOURCE
ILLEGAL MARKET				
Illegal share of online betting H1-26	**38–44%**	**—**	**Pre-ban**	**LCA/Locomotiva for IBJR**
Illegal sites blocked, year one	>25,000	Vixio: >16,000 domains	—	SPA (Jan-26)
Clandestine sites identified since MP	>34,000	—	Post-ban	ANJL Legitbet
Jobs cut/furloughed at licensees	≈51% of ~15,000	—	Post-ban	ANJL via Vixio
JUDICIAL				
STF actions (Fux, rapporteur)	ADIs 8.024 / 8.027 / 8.028	—	Public hearing, 26 participants	STF via Yogonet
Federal-court actions	19	3 denied; 1 granted then suspended (TRF-3)	0 injunctions in force (26 Oct)	Yogonet / Focus GN
POLITICAL / LEGISLATIVE				
Presidential runoff	25 Oct 2026	Lula def. F. Bolsonaro	Lula re-elected	TSE via press
Joint committee installed	No (as of 27 Oct)	99 amendments filed	Pending	Focus GN / Tokenpost
Government priority	Vote by Dec-26	Before new Congress (Feb-27)	Stated 27–28 Oct	SRI (Guimarães)
MP 'urgency' lock	9 Nov 2026	Day 45	Upcoming	Const. art. 62
MP expiry if not voted	**≈4 Mar 2027**	**120 legislative days**	**Law 14.790 would revive**	**Vixio**
Scenario weights (analyst judgement)	Sports-only 40–45%; lapse/reject 25–30%; total ban 15–20%; STF restore 10–15%	—	—	B2Tech analyst

8 DEEP-DIVE — LOTTERIES, RETAIL & LAND-BASED

Caixa's lottery monopoly is untouched and is now the only reporting gambling tax stream; land-based casinos remain unlegislated.

CAIXA LOTTERIES

Caixa's lottery monopoly is untouched by the MP and becomes the only reporting gambling tax stream.

- Art. 1 §2 excludes 'other lottery modalities authorised by law'; Mega-Sena, Lotofácil, Quina, instant tickets and sports pools continue, as do authorised state lotteries.
- State fixed-odds concessions are extinguished under art. 2.
- Lotteries contributed R$4.96bn (~$924m) in H1-26, two-thirds of the R$7.44bn (~$1.39bn) captured by betting-and-lottery codes; numerical lotteries 77.2% of the block.
- Caixa's 2026 sales and prize data were not retrieved and are n/a.
- From October 2026 the 'apostas e jogos de azar' line will be a lottery series and should not be compared with 2025–26 totals.

RETAIL AND LAND-BASED

Retail is Caixa's ~13,000 lottery agencies with no fixed-odds product; the land-based casino bill PL 2.234/2022 saw no 2026 vote.

- Agency count not re-verified; no licensed sportsbook estate, so the regulated market was effectively online-only and could be shut via payments and domain blocking.
- The MP's political climate makes passage of PL 2.234/2022 less likely near term.
- The ban has revived the Paulo Guedes-era argument for integrated-resort casinos as a 'controlled' alternative.

B2TECH IMPLICATIONS

The lottery segment is closed to B2Tech and land-based is a 2028+ question at the earliest.

- Federal monopoly; state lotteries procure through concessions, largely as iLottery/instant products.
- Brazil has no omnichannel hedge, so a Brazilian strategy is entirely a bet on the online framework being restored.

LOTTERY & RETAIL INDICATORS (R$; ~USD AT 5.37)	H1-26	SHARE / COMPARATOR	STATUS POST-MP	SOURCE
Lottery collection codes (Receita)	R$4.96bn (~$924m)	66.6% of R$7.44bn betting+lottery codes	Continues	BNLData (Receita codes)
Numerical lotteries share of lottery block	77.2%	Mega-Sena-type	Continues	BNLData
Numerical-lottery contribution code	Jan R$11.6m → Jun R$251.1m	Step-up from April	Unexplained rule change [unverified]	BNLData
Caixa lottery sales / prizes 2026	n/a	n/a	Continues	Not retrieved
Licensed retail fixed-odds estate	None material	—	Prohibited	Law 14.790; MP art. 1
State fixed-odds concessions	Several (count n/a)	—	Extinguished 25 Oct (art. 2)	MP 1.394
Land-based casinos (PL 2.234/2022)	Not legalised	Senate, no 2026 vote	Stalled	Senate records (not re-read)

9 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Proven demand at scale: ~R$40bn (~$7.5bn) annualised GGR, 30.9m registered bettors, ≈R$398bn (~$74bn) of H1 stakes and 87 licensees prove Brazil is a top-tier online market the moment legal supply returns — demand is not the risk, channel is. structural
- Automatic reversion path: if Congress neither converts nor rejects MP 1.394 by ≈4 Mar 2027, Law 14.790 revives by operation of the Constitution; a reinstatement decree waiving re-application and the R$30m (~$5.6m) fee is the industry's stated ask and has precedent in Brazilian MP practice. timing
- Sports-only compromise is the modal outcome and would hand surviving sportsbook operators a far less crowded market: the ~95% blended payout implies online games carried most GGR, so a sports-only regime shrinks the TAM but also removes casino-led competitors and lowers regulatory temperature. structural
- Fiscal dependency created in 21 months is the restoration lobby's best weapon: R$11.1bn (~$2.07bn) of 9M receipts, R$870m (~$162m) to sport in one half, club sponsorships and the Treasury's own R$12bn (~$2.2bn) three-year loss estimate all argue against a permanent total ban. structural
- Forced consolidation creates entry-by-acquisition options: ~51% of sector jobs already cut, balances zeroed and 87 licence-holders with 39 months of pre-paid term in limbo mean brands, Brazilian corporate shells and local teams can be acquired at distressed prices ahead of any reopening. one-off
- B2B positioning is lower-risk than B2C: suppliers (e.g., Evolution signalling readiness to reopen its Brazil studio) carry no outorga risk and can re-enter on day one of restoration; a platform/content partnership with a tier-one survivor preserves optionality without capital at risk. early

▼ LOWLIGHTS

- Expropriation without compensation is now precedent: MP art. 4 revokes five-year authorisations after 21 months 'in the public interest' with no refund of the R$30m (~$5.6m) fee and no indemnity; until the STF rules otherwise, Brazilian licence value carries sovereign-risk discounting no regulated peer market requires. governance
- The author of the ban won: Lula's re-election on 25 Oct and the government's decision to prioritise conversion of the MP before Congress turns more conservative in Feb-27 remove the 'lame-duck lapse' scenario; a permanent ban on online games — Bolsonaro's position too — is a live, cross-party outcome. structural
- No judicial relief in force: 19 federal actions, zero injunctions, one granted and dissolved within 24 hours; Fux has opted for a public hearing rather than a ruling. Legal clarity realistically arrives Q1–Q2 2027, implying 5–9 months of zero regulated revenue. timing
- Tax ratchet is locked in regardless of outcome: LC 224/2025 takes the GGR contribution to 14% in 2027 and 15% in 2028 on top of IRPJ/CSLL/PIS/COFINS, and the government's revealed preference (MP 1.303/2025) was 18%; a restored market would face a higher effective rate than the one that produced 2026's numbers. structural
- Black market is now the whole market: 38–44% of online betting was already offshore in H1-26 despite >25,000 blocked domains; Legitbet counts >34,000 clandestine sites since the MP. Re-channelising players who have migrated, with the welcome-bonus ban intact and balances emptied, will be slower and costlier than the 2025 launch. structural
- Payments-rail weaponisation and administrative forfeiture: banks, PSPs and Pix arrangement owners are barred from processing any fixed-odds flow, the BCB must build real-time rejection, and funds in blocked accounts can be forfeited to the Union without a prior court order — grey-market operation in Brazil now carries asset-seizure risk, not just blocking risk. governance
- Data opacity: SPA publishes no regular statistics; market size relies on LAI requests relayed by trade press, two SPA-sourced H1 figures differ by 1% and the product split is unpublished — any Brazilian business case rests on second-hand numbers. watch

10 FORECAST & OUTLOOK

Guidance bridge. The bridge from a pre-ban forecast to today runs through a single legislative act. Entering 2026 the regulated market was tracking FY-25 GGR of R$36.96bn (~$6.88bn) toward ~R$40bn (~$7.5bn) on H1-26's +15.3% growth, with BNLData projecting R$14.6–15.5bn (~$2.7–2.9bn) of FY-26 betting-and-lottery receipts and LC 224/2025 lifting the GGR contribution to 13%. MP 1.394/2026 drove regulated GGR to zero from 6 Oct, extinguished all 87 authorisations on 25 Oct and, by the government's own account, removes R$1.541bn (~$287m) of 2026 and R$5.150bn (~$959m) of 2027 tax revenue — figures we and BNLData regard as understating the observed ~R$760m (~$142m) monthly fixed-odds take by roughly half. The moving parts for the next six months are the STF (Fux hearing, November), the congressional calendar (urgency 9 Nov; government push for a December vote; expiry ≈4 Mar 2027) and the content of the 99 amendments, of which the sports-only variant is the pivot.

FY-25 REGULATED GGR (ACTUAL)	H1-26 GGR / PRE-BAN FY-26 RUN-RATE	POST-MP Q4-26 REGULATED GGR	2027 REGULATED GGR (SCENARIO RANGE) [EST.]
R$36.96bn (~$6.88bn) First regulated year	**R$20.07bn (~$3.74bn) / ≈R$40bn (~$7.5bn) [est.]** +15.3% YoY	**≈R$0** Official tax loss -R$1.54bn (~$287m) 2026	**R$0 – R$40bn+; modal sports-only case ≈R$12–18bn (~$2.2–3.4bn)** vs official 2027 tax loss -R$5.15bn (~$959m)

Independent view. Our base case is that Brazil does **not** return to its pre-ban shape within the next 12–18 months. We assign roughly 40–45% to Congress converting MP 1.394 with amendments that **restore sports betting and permanently prohibit online games**, most likely voted in the December 2026 window or carried into the new legislature with a similar text; 25–30% to the measure lapsing or being rejected around March 2027 with Law 14.790 reviving and a reinstatement decree; 15–20% to a permanent total ban; and 10–15% to an STF injunction restoring the full market first. In the modal case, 2027 regulated GGR would be an estimated **R$12–18bn (~$2.2–3.4bn)** — our judgement that sports carried roughly 30–45% of pre-ban GGR given the ~95% blended payout, with a 2027 restart lag and re-acquisition friction — taxed at **14% of GGR plus corporate taxes**, with advertising closer to a near-total ban than to the 2025 regime and the payments-rail enforcement machinery kept in place against offshore supply. Operator numbers would fall from 87 toward 20–30 well-capitalised sportsbooks. Leverage on the sector is unambiguously negative: zero revenue, continuing SIGAP and refund obligations, severed sponsorships and litigation costs through at least Q1-27 favour tier-one balance sheets. For B2Tech the recommendation is **no B2C capital commitment before the STF ruling and the congressional text are known**, active monitoring of distressed-asset opportunities, and a B2B/supplier-side readiness plan that can be switched on within one quarter of any reopening. The swing factors are Fux (a market-wide ex tunc injunction would reset everything), whether the Centrão trades casino for sportsbook, and whether the government's December push succeeds before the Congress elected on 4 Oct 2026 takes its seats.

What to watch next quarter:

- STF: outcome of Justice Fux's public hearing (26 participants) and any plenary ruling on ADIs 8.024/8.027/8.028 — specifically whether relief is market-wide and ex tunc (unwinding the 25 Oct revocations) or prospective only.
- Congress: installation of the joint committee, the rapporteur's text among 99 amendments (watch for a sports-only carve-out and a licence-reinstatement/fee-waiver clause), 9 Nov urgency lock, December floor vote vs deferral to February 2027, and the ≈4 Mar 2027 expiry.
- BCB regulation under MP arts. 14–15 (Pix rejection/return protocol) and the Casa Civil Interinstitutional Committee's first enforcement actions — the template for post-restoration offshore suppression.
- Receita Federal monthly 'apostas e jogos de azar' line from October 2026: how far it falls toward a lottery-only ~R$0.5bn (~$93m) a month, and the PLOA 2027 revisions to beneficiary transfers — the fiscal pain gauge for Congress.
- Black-market indicators: Legitbet clandestine-site count, IBJR/LCA channelisation updates, and app-store/social-platform enforcement cases under arts. 19–22.
- Industry structure: licensee insolvencies, brand/shell disposals, ANJL/IBJR employment data, and whether tier-one operators (and suppliers such as Evolution) maintain Brazilian entities and staff through the blackout.
- Tax trajectory: LC 224/2025 step to 14% on 1 Jan 2027 and any revival of the 18% proposal in the conversion text or the 2027 budget.

DATA CONFIDENCE: MEDIUM FX: USD/BRL 5.37 (Investing.com close 29 Oct 2026; the 30 Sep 2026 close was not retrieved, so all ~USD figures are approximate). Legal framework (MP 1.394/2026, EM 2114/2026, MF/SPA wind-down schedule) read in full from official texts — HIGH confidence. Market size (H1-26 GGR R$20.07bn, prizes, bettors, operator counts, allocations) comes from SPA data released under the LAI and relayed by BNLData, corroborated within 1% by a second SPA-sourced report (R$20.28bn; 84/193 vs 87/188 operators) — MEDIUM. Receita Federal 9M-26 receipts (R$11.116bn; Sep R$1.206bn; fixed-odds R$6.86bn) are press-relayed (TheGamblest, Yogonet, Focus GN, O Povo) because fetch capacity was exhausted before the Receita report could be opened — MEDIUM; one press source gives September bets-only as R$1.230bn (unreconciled). The Jan–Apr 2026 'R$4.586bn' Receita series is labelled 'sports betting' in press but almost certainly includes lotteries — flagged. Q3-26 GGR, the sports-vs-online-games split, operator market shares, Caixa 2026 lottery sales and the 30 Sep FX rate are n/a / not retrieved. LC 224/2025 rates (13/14/15%) verified via two law-firm summaries, not the Planalto text. Scenario probabilities and 2027 GGR ranges are analyst estimates, not modelled from disclosed data.

Sources: [Primary] Medida Provisória nº 1.394, de 25 de setembro de 2026 — full text (Câmara dos Deputados, Legislação Informatizada); [Primary] EXM nº 2114/2026 — Exposição de Motivos to MP 1.394/2026 (fiscal impact R$1.541bn/5.150bn/5.330bn); [Primary] Ministério da Fazenda / SPA — 'Medida Provisória nº 1.394/2026: entenda as novas regras' (wind-down schedule), 2 Oct 2026; [Primary] Lei Complementar nº 224, de 26 de dezembro de 2025 (GGR contribution 13%/14%/15%) — Planalto; [Primary] Lei nº 15.421, de 1º de junho de 2026 (FIFA Women's World Cup 2027 law; art. 68 revoked by MP) — Câmara; [Primary] Ministério da Fazenda — 'Em um ano de mercado regulado, SPA registra mais de 25 mil sites ilegais bloqueados', Jan 2026; [Primary] Senado Notícias — 'MP proíbe bets e determina encerramento das operações em 30 dias', 28 Sep 2026; [Secondary] TheGamblest — 'Brazil betting taxes hit R$11.1bn in 9 months' (Receita Federal 22 Oct 2026 data), 23 Oct 2026 [lead article]; [Secondary] BNLData — 'Gross revenue from regulated betting in Brazil reaches R$20.07bn in H1 2026' (SPA data via LAI), Aug 2026; [Secondary] BNLData — 'Receita Federal arrecada R$4,586 bi com apostas esportivas entre janeiro e abril de 2026', May 2026; [Secondary] BNLData — 'Government only accounts for a third of the losses from betting…' (R$18.2bn vs R$6.8bn), Oct 2026; [Secondary] Vixio Regulatory Intelligence — 'Brazil's Provisional Prohibition: Where It Stands And What Happens Next', 20 Oct 2026; [Secondary] Pimentel e Rohenkohl Advogados — summary of LC 224/2025 (bets 13%/14%/15% split), 2 Jan 2026; [Secondary] Demarest — Client Alert LC 224/2025 (corroborates GGR ramp), Jan 2026; [Secondary] Yogonet Brasil — 'Receita Federal arrecada mais de R$11 bilhões com apostas e jogos de azar até setembro', 23 Oct 2026; [Secondary] Yogonet Brasil — 'STF convoca audiência sobre MP das bets…' (26 participants), 27 Oct 2026; [Secondary] Yogonet Brasil — 'Nenhuma das 19 ações contra a proibição das bets tem liminar em vigor', 28 Oct 2026; [Secondary] Focus Gaming News — 'Bets arrecadam R$1,2 bi em setembro e já superam 2025' (R$11.12bn vs R$9.95bn), 23 Oct 2026; [Secondary] Focus Gaming News — 'Governo Lula elege a MP das Bets como prioridade e quer votar no Congresso até o fim do ano', 28 Oct 2026; [Secondary] Focus Gaming News — 'Giro da Semana – 30 de Outubro' (Legitbet >34k clandestine sites), 30 Oct 2026; [Secondary] iGaming Business BR — 'Lula é reeleito presidente do Brasil e a luta contra a proibição das bets…', 26 Oct 2026; [Secondary] Exame — 'Justiça suspende liminar que permitia atuação de bet…' (TRF-3; ADIs 8.024/8.027/8.028), 9 Oct 2026; [Secondary] O Povo — 'Receita informa que arrecadou R$5,260 bi com tributação de lucros e dividendos até setembro' (Gomide: bets R$6.86bn Jan–Sep), 22 Oct 2026; [Secondary] Pariente Advisory — 'Two Clocks in Brasília: channelization' (LCA/Locomotiva for IBJR: 38–44% illegal share H1-26), Aug 2026;

[Secondary] Claudio Dantas — 'Bets movimentam R$88,5 bi no semestre e R$20,3 bi receita' (SPA data; 84 companies/193 brands), 25 Sep 2026; [Secondary] Meio & Mensagem — 'Regulação das bets: 25 mil sites bloqueados e receita de R$37 bi' (FY-25; 25.2m bettors), Jan 2026; [Secondary] BNLData — 'Brasileiros fazem 15,2 mi de apostas em bets reguladas no 1º tri de 2026' (Q1-26 CPFs, R$7.6bn); [Secondary] TokenPost — 'Brazil's Betting Authorization Deadline Passes as Ban Faces Review' (99 amendments), 27 Oct 2026; [Secondary] Investing.com — USD/BRL historical data (5.3746 close, 29 Oct 2026).

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